

have implications. For instance, the social programs that were put in place in the 1960s will undoubtedly be repealed at the end of the bear market. The sentiment accompanying that impulse will bring social *concern and conflict* of an intensity equal to that of the social *well-being and harmony* felt in 1965. Events resulting from social mood trends is a topic we will cover briefly in Chapters 12 and 21.

A few casual observers have remarked that since the Dow adjusted by the PPI is barely above its February 1966 high, the outlook remains bullish since there is “so much room” for stocks to go up. This assertion would be true if stocks were at low valuation levels. However, as Chapters 6 and 10 will show, the dividend yield on the Dow Industrial Average today is the lowest in its history, while the dividend yield on the Dow Transportation Average in recent years has been the lowest of *any* stock index in U.S. history.

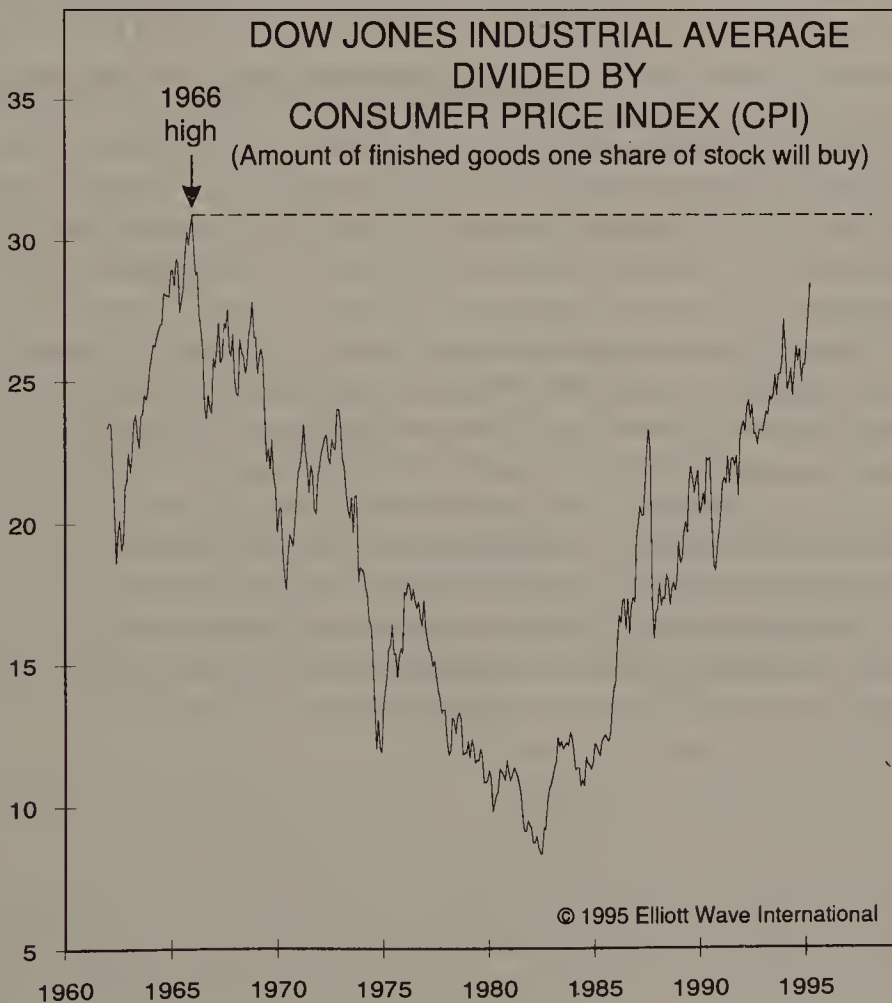


Figure 3-4